Daily Market Brief

Friday, October 16, 2026

AI Driven Financial Research

TODAY'S BOTTOM LINE

Inflation is broadening and running ahead of forecasts: September producer prices rose 1.3%, more than double consensus, and core CPI beat. That makes a second Fed hike at the meeting in two weeks a live risk, with an energy supply shock adding pressure. Meanwhile, credit stress in AI infrastructure is the clearest signal yet that the market's leadership trade is losing its financing tailwind.

TODAY'S MARKET OPEN

US stocks opened mixed: the Dow rose 0.25% and the S&P 500 gained just 0.02%, while the Nasdaq Composite fell 0.22%. The driver is renewed worry about AI financing costs and heavy debt at data-center operators, which pressured semiconductor stocks and held back tech. Tesla (TSLA) offered some offset, up 3.3% premarket after unveiling a redesigned Roadster. For the rest of the session, watch whether chip weakness deepens enough to pull a barely positive S&P 500 into the red.

MARKET THEMES

Inflation Forces Fed's Hand

September PPI rose 1.3% against a 0.6% consensus, the largest monthly gain since March 2022, taking the annual rate to 6.3%. Prices excluding food, energy and trade services still rose 0.5%, so the pressure is not confined to gasoline. This followed CPI, where the headline rose 0.6% in line with forecast but core printed 0.3% versus 0.2% expected, and core year over year reached 2.6% against a 2.5% forecast. Street estimates for September core PCE have moved to 0.32% from 0.25% in August, above the pace that triggered last month's hike. Chairman Kevin Warsh declined to steer expectations in Thursday night remarks, which leaves the hawkish data to set pricing. Some technicians read Thursday's rebound as lower rates lifting the broader market, but the inflation evidence dominates and argues against leaning on rate relief. Duration and rate-sensitive cyclicals remain exposed into the decision.

Energy Supply Squeeze

IEA members agreed to release more than 20 million barrels of diesel. That covers less than one day of global demand and does nothing to address refining capacity, so its market impact looks marginal. Diesel futures fell only about 1% to $4.86. The physical market is tighter than screen prices suggest: supertanker charters from the US Gulf to Asia have hit $76 million to $77 million, roughly ten times year-ago levels, which adds about $38 per barrel to delivered crude. With a prolonged Iran standoff expected and low European gas storage, tanker owners such as DHT Holdings (DHT) and Scorpio Tankers (STNG) and refiners like Valero (VLO) and Marathon Petroleum (MPC) hold the advantage. Fuel-intensive users absorb the cost.

AI Financing Cracks

Credit default swap spreads on the largest listed neocloud operator touched 1,140 basis points, a level generally read as distressed. Its 2031 bonds now yield 15.78% on more than $51 billion of debt and obligations. Peers Nebius (NBIS) and IREN (IREN) swung sharply, and Micron (MU) and Advanced Micro

Devices (AMD) sold off intraday after weakness in Korean chip stocks. The equity read across is reinforced by strategists arguing the best of the AI trade may be over. A Democratic sweep in the November 3 midterm election is also flagged as a potential accelerant for a tech selloff. With nearly 40% of S&P 500 members already in bear markets despite index strength, concentration risk is acute. We favor balance-sheet strength over leveraged AI capacity builders.

TOP STORIES

KFC Moves US Fountain Business to Coca-Cola

Yum Brands (YUM) will switch KFC's US restaurants from PepsiCo (PEP) to Coca-Cola (KO) beverages next year, ending a relationship dating to 1986. The account is a meaningful fountain win for Coca-Cola and a reputational blow to PepsiCo's foodservice franchise. That raises the question of whether Taco Bell and Pizza Hut follow. For Yum, the move is part of a turnaround effort to recapture share lost to chicken competitors.

Norway's Wealth Fund May Reopen Defense Exposure

An independent review recommended loosening the $2.3 trillion Norwegian sovereign fund's ethics rules, which currently bar holdings in Lockheed Martin (LMT) and Boeing (BA) over nuclear weapons involvement. The parliamentary vote is not expected until mid-2027, so flows are distant. Still, the shift signals a broader institutional normalization of defense ownership that supports sector multiples.

Netflix Hires Former Disney Executive as Content Chief

Netflix (NFLX) named Peter Rice, who previously ran cable, news and live sports at Walt Disney (DIS), as chief content officer effective October 26, replacing Bela Bajaria. Rice's live-sports and at-scale operating background points to deeper investment in live events and advertising-friendly programming. Investors should watch for content spend guidance shifts.

Nvidia Deepens Its Startup Investment Push

Nvidia (NVDA) CEO Jensen Huang announced stakes in five UK startups ahead of next week's GTC Berlin conference, touting the growth of UK neocloud Nscale (no US listing). The strategy builds future demand and political goodwill. However, it also deepens Nvidia's financial ties to the same customer base now facing credit scrutiny, which raises questions about circular demand.

Tesla Shows Roadster, Little Earnings Impact

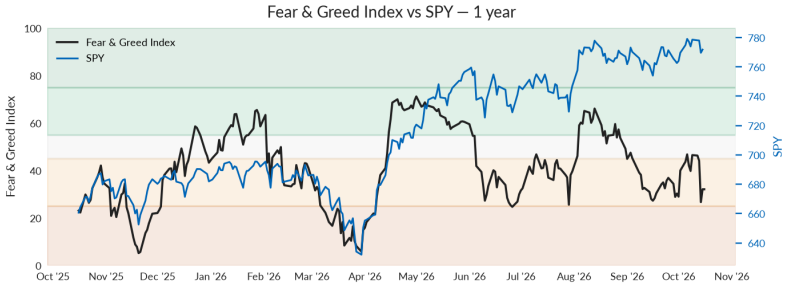
Tesla (TSLA) unveiled its long-delayed Roadster at a Space Exploration Technologies (SPCX) test site, claiming sub-one-second 0 to 60 acceleration using SpaceX thrusters. The car is low-volume and immaterial to financials. It reinforces the narrative-driven valuation rather than the auto fundamentals investors will weigh at earnings.

WHAT'S MOVING

The sector map rotated over the past five sessions, with fresh leaders climbing into an uptrend while the old ones stalled. Consumer Defensive turned up yesterday, its momentum rising from -0.9 to 2.6, and Healthcare made the same move into an uptrend. Over the same stretch, Technology and Energy stalled, and no sector recovered from a downtrend to flat. Seven sectors remain in a downtrend, Industrials and Real Estate among them. Yesterday only two sectors lost momentum, Energy and Utilities, while the rest picked up, Communication Services among them.

MARKET SENTIMENT





Previous close 32 · One week ago 46 · One month ago 27 · Three months ago 37 · One year ago 23

NEWS VS TAPE

News: last 14 days of claims. Momentum: median distance from the 50-day average. Breadth: share above the 200-day average. Trend: distance from the 200-day average.

SECTORS AND INDUSTRIES IN THE NEWS

TARGET	NEWS	MOMENTUM	BREADTH	READ
Oil & Gas Refining & Marketing (ind 9)	+32	+14.0%	89%	agree
Oil & Gas Exploration & Production (ind 25)	+19	+0.9%	72%	flat
Technology (sec 158)	-5	+0.5%	58%	flat
Real Estate (sec 59)	-17	-3.8%	20%	agree
Trucking (ind 5)	-24	-0.5%	40%	agree
Consumer Cyclical (sec 118)	-25	-1.0%	36%	agree
Airlines, Airports & Air Services (ind 7)	-46	-8.9%	14%	agree
Residential Construction (ind 7)	-51	-5.4%	0%	agree
Semiconductors (ind 34)	-57	-7.9%	50%	agree

MACRO IN THE NEWS

TARGET	NEWS	MOMENTUM	TREND (VS 200-DAY)	READ
Oil (USO)	+71	+10.0%	+33.9%	agree
Treasury 30y (TLT)	-29	-0.6%	-5.2%	agree
Credit (HYG)	-31	-1.4%	-3.0%	agree
Treasury 10y (IEF)	-46	-0.7%	-3.5%	agree
Treasury 2y (SHY)	-77	-0.2%	-1.0%	agree

ALL SECTORS - TAPE ONLY

TARGET	MOMENTUM	BREADTH	READ
Consumer Defensive	+2.6%	57%	up
Healthcare	+2.0%	63%	up
Technology	+0.5%	58%	flat
Energy	+0.0%	64%	flat
Communication Services	-0.4%	43%	down
Utilities	-0.4%	14%	down
Consumer Cyclical	-1.0%	36%	down
Financial Services	-2.0%	52%	down
Industrials	-3.5%	42%	down
Basic Materials	-3.5%	51%	down
Real Estate	-3.8%	20%	down

BIGGEST PRICE MOVERS

Close 2026-10-15. The largest one-day moves, up or down, among stocks priced at $5 or more with $100M or more traded; ETFs and funds excluded. Ordered from biggest gainer to biggest loser. Bar: day change, full bar at 20%.

#	TICKER	NAME	INDUSTRY	$ VOLUME	VS 20D	DAY CHANGE	READ
1	TRU	TransUnion	Financial - Data & Stock Excha.	$334M	1.5x	+10.73%	Up
2	ARQT	Arcutis Biotherapeutics, Inc.	Biotechnology	$114M	1.2x	+10.19%	Up
3	TOST	Toast, Inc.	Software - Infrastructure	$294M	1.1x	+7.94%	Up
4	BBWI	Bath & Body Works, Inc.	Specialty Retail	$258M	1.8x	+7.86%	Up
5	TTD	The Trade Desk, Inc.	Advertising Agencies	$334M	1.0x	+7.80%	Up
6	AFRM	Affirm Holdings, Inc.	Financial - Credit Services	$449M	1.4x	+7.67%	Up
7	APPF	AppFolio Inc.	Software - Application	$118M	1.6x	+7.59%	Up
8	ETSY	Etsy, Inc.	Specialty Retail	$544M	1.9x	+7.54%	Up
9	ELF	e.l.f. Beauty, Inc.	Household & Personal Products	$266M	1.9x	+7.38%	Up
10	EFX	Equifax Inc.	Consulting Services	$322M	1.0x	+7.25%	Up
11	RDDT	Reddit, Inc.	Internet Content & Information	$629M	-	+7.24%	Up
12	KGC	Kinross Gold Corporation	Gold	$200M	1.1x	+7.24%	Up
13	HPE	Hewlett Packard Enterprise Company	Computer Hardware	$2.0B	1.7x	-7.10%	Down
14	LBRT	Liberty Energy Inc.	Oil & Gas Equipment & Services	$112M	1.7x	-7.33%	Down
15	MAN	ManpowerGroup Inc.	Staffing & Employment Services	$165M	4.2x	-15.82%	Down

MOST ACTIVE OPTIONS - BY CONTRACT VOLUME

Close 2026-10-15. Ranked by contracts traded; ETFs shown. Bar: call versus put positioning weighted by delta, from -1 to +1, full bar at 0.6. Bullish at +0.15 or more, Bearish at -0.15 or less. Option volume counts buyers and sellers alike, so the bias shows positioning, not proven buying. P/C is the put/call volume ratio and does not set the label. For ETFs the industry column shows what the fund tracks.

#	TICKER	NAME	INDUSTRY	CONTRACTS	P/C	CALL / PUT BIAS	READ
1	SPY	State Street SPDR S&P 500 ETF	S&P 500	14.07M	1.17	+0.54	Bullish
2	QQQ	Invesco QQQ Trust, Series 1	Nasdaq 100	10.27M	1.11	+0.55	Bullish
3	NVDA	NVIDIA Corporation	Semiconductors	2.98M	0.55	+0.37	Bullish
4	IWM	iShares Russell 2000 ETF	Small Caps	2.24M	1.35	+0.31	Bullish
5	TLT	iShares 20+ Year Treasury Bond ETF	rates	2.20M	0.28	+0.51	Bullish
6	SPCX	Space Exploration Technologies Corp.	Aerospace & Defense	1.36M	0.78	+0.28	Bullish
7	INTC	Intel Corp.	Semiconductors	1.33M	0.68	+0.24	Bullish
8	TSLA	Tesla, Inc.	Auto - Manufacturers	1.28M	0.60	+0.26	Bullish
9	MU	Micron Technology, Inc.	Semiconductors	1.24M	0.62	+0.52	Bullish
10	AAPL	Apple Inc.	Consumer Electronics	1.11M	0.83	-0.12	Mixed
11	IREN	IREN Limited	Information Technology Servic.	904K	0.77	+0.22	Bullish
12	HYG	iShares iBoxx $ High Yield Corporate.	credit	783K	3.75	-0.46	Bearish
13	AMD	Advanced Micro Devices, Inc.	Semiconductors	732K	0.63	+0.43	Bullish
14	SMH	VanEck Semiconductor ETF	Semiconductors	687K	2.72	-0.48	Bearish
15	AMZN	Amazon.com, Inc.	Specialty Retail	667K	0.42	+0.37	Bullish

INDUSTRY TAPE

Prices as of 2026-10-15. Momentum: median distance from the 50-day average. Breadth: share above the 200-day average. Industries with fewer than 5 names omitted. Sorted within each sector: up, flat, down, then by momentum.

SECTOR / INDUSTRY (NAMES)	MOMENTUM	BREADTH	READ
Basic Materials (72)	-3.5%	51%	down
Steel (5)	+1.7%	80%	up
Chemicals - Specialty (20)	-0.2%	55%	flat
Gold (14)	-5.3%	57%	down
Chemicals (7)	-6.0%	57%	down
Construction Materials (12)	-7.2%	33%	down
Communication Services (42)	-0.4%	43%	down
Entertainment (10)	+0.2%	60%	flat
Internet Content & Information (18)	+0.6%	33%	down
Telecommunications Services (8)	-5.6%	12%	down
Consumer Cyclical (118)	-1.0%	36%	down
Specialty Retail (21)	+3.8%	48%	flat
Restaurants (15)	+0.2%	47%	flat
Packaging & Containers (6)	+0.1%	67%	flat
Auto - Manufacturers (6)	-0.4%	50%	flat
Travel Services (8)	+0.2%	25%	down
Leisure (8)	-0.5%	38%	down
Auto - Parts (7)	-3.4%	29%	down
Residential Construction (7)	-5.4%	0%	down
Auto - Dealerships (5)	-7.8%	0%	down
Gambling, Resorts & Casinos (6)	-9.6%	0%	down
Furnishings, Fixtures & Appliances (6)	-10.9%	17%	down
Consumer Defensive (63)	+2.6%	57%	up
Discount Stores (7)	+4.5%	100%	up
Household & Personal Products (14)	+3.6%	79%	up
Packaged Foods (16)	-2.1%	25%	down
Energy (66)	+0.0%	64%	flat
Oil & Gas Refining & Marketing (9)	+14.0%	89%	up
Oil & Gas Integrated (5)	+6.7%	100%	up
Oil & Gas Explor. & Prod. (25)	+0.9%	72%	flat
Oil & Gas Midstream (8)	-0.4%	62%	flat
Oil & Gas Drilling (5)	-0.7%	80%	flat
Oil & Gas Equipment & Services (9)	-7.2%	22%	down
Financial Services (167)	-2.0%	52%	down
Insurance - Brokers (5)	+3.9%	60%	up
Data & Stock Exchanges (11)	+2.8%	73%	up
Insurance - Diversified (5)	+2.6%	60%	up
Insurance - Life (5)	+1.4%	100%	up
Insurance - Property & Casualty (13)	+1.3%	69%	up
Financial - Credit Services (13)	-0.6%	46%	flat
Banks - Regional (74)	-2.4%	55%	down
Banks - Diversified (5)	-3.8%	20%	down
Asset Management (20)	-5.1%	40%	down
Financial - Capital Markets (6)	-8.1%	0%	down

SECTOR / INDUSTRY (NAMES)	MOMENTUM	BREADTH	READ
Healthcare (125)	+2.0%	63%	up
Diagnostics & Research (12)	+7.6%	92%	up
Drug Manufacturers - General (9)	+6.9%	100%	up
Instruments & Supplies (12)	+6.4%	67%	up
Healthcare Plans (7)	+6.3%	100%	up
Healthcare Information Services (6)	+5.7%	67%	up
Care Facilities (7)	+2.0%	86%	up
Devices (18)	+0.5%	44%	down
Drug Mfrs. - Specialty & Generic (7)	-0.4%	29%	down
Biotechnology (41)	-4.6%	46%	down
Industrials (155)	-3.5%	42%	down
Marine Shipping (5)	+6.1%	100%	up
Railroads (6)	+0.7%	67%	flat
Specialty Business Services (13)	-0.8%	69%	flat
Conglomerates (5)	-0.9%	60%	flat
Trucking (5)	-0.5%	40%	down
Staffing & Employment Services (6)	-1.6%	50%	down
Integrated Freight & Logistics (7)	-1.7%	57%	down
Industrial - Distribution (5)	-2.5%	60%	down
Industrial - Machinery (32)	-3.6%	38%	down
Aerospace & Defense (22)	-7.0%	0%	down
Engineering & Construction (8)	-7.8%	25%	down
Electrical Equipment & Parts (9)	-8.0%	44%	down
Airlines (7)	-8.9%	14%	down
Real Estate (59)	-3.8%	20%	down
REIT - Industrial (6)	-2.1%	17%	down
REIT - Residential (7)	-3.2%	0%	down
REIT - Specialty (8)	-3.3%	38%	down
REIT - Retail (11)	-4.1%	0%	down
REIT - Diversified (5)	-4.2%	20%	down
REIT - Office (6)	-6.2%	33%	down
REIT - Mortgage (6)	-13.0%	0%	down
Technology (158)	+0.5%	58%	flat
Software - Application (43)	+6.0%	60%	up
Software - Infrastructure (28)	+3.1%	82%	up
Information Technology Services (16)	+3.9%	38%	down
Communication Equipment (10)	-5.7%	50%	down
Hardware, Equipment & Parts (14)	-6.2%	43%	down
Computer Hardware (9)	-7.7%	78%	down
Semiconductors (34)	-7.9%	50%	down
Utilities (44)	-0.4%	14%	down
Regulated Electric (26)	-0.1%	19%	down
Renewable Utilities (6)	-5.7%	0%	down

ECONOMIC CALENDAR

Time (ET)	Event	Prior	Forecast	Actual
MONDAY, OCT 12				
12:50p	Fed Hammack Speech	-	-	n/a
2:00p	Budget Balance (Sep)	-167	210	-
TUESDAY, OCT 13				
3:45a	Fed Waller Speech	-	-	n/a
6:00a	OPEC Monthly Report	-	-	-
10:00a	Existing Home Sales (Sep) Existing home sales beat forecast, suggesting resilient housing demand despite economic headwinds.	3.93	3.95	3.99
10:00a	Existing Home Sales MoM (Sep) Month-over-month sales surged 1.5%, reversing prior decline and signaling housing market strength.	-3.2	-0.3	1.5
1:00p	Fed Barkin Speech	-	-	n/a
2:00p	Budget Balance (Sep)	-167	-29	-
4:00p	Fed Collins Speech	-	-	n/a
WEDNESDAY, OCT 14				
7:00a	MBA 30-Year Mortgage Rate (Oct/09)	7.49	-	7.5
8:30a	Inflation Rate MoM (Sep) Monthly inflation met expectations at 0.6%, indicating stable price pressures month-to-month.	0.4	0.6	0.6
8:30a	CPI s.a (Sep) CPI slightly exceeded forecast, suggesting underlying inflationary pressures remain elevated.	334.13	335.8	336.3
8:30a	Core Inflation Rate MoM (Sep) Core inflation held steady at 0.3% MoM, suggesting stable non-energy prices.	0.3	0.2	0.3
8:30a	Inflation Rate YoY (Sep) Year-over-year inflation accelerated to 3.7%, exceeding forecasts and raising Fed concerns.	3.4	3.6	3.7
8:30a	Core Inflation Rate YoY (Sep) Core inflation rose 2.6% YoY, exceeding target and potentially pressuring Fed policy.	2.4	2.5	2.6
8:30a	Inflation Rate (Sep) CPI came in above forecast, reinforcing elevated inflation concerns for policymakers.	334.98	336.65	336.94
1:30p	Fed Barkin Speech	-	-	n/a
2:00p	Beige Book	-	-	-
2:00p	Budget Balance (Sep)	-167	-29	-
5:00p	API Crude Oil Stock Change (Oct/09)	-2.09	1.9	-11.1
10:55p	Fed Bowman Speech	-	-	n/a
THURSDAY, OCT 15				
8:30a	Retail Sales Ex Gas/Autos MoM (Sep) Core retail sales matched forecasts, showing consumer spending momentum remains contained.	1.1	0.2	0.2
8:30a	Initial Jobless Claims (Oct/10) Initial claims stayed near forecasts, indicating stable labor market conditions overall.	198	200	199
8:30a	NY Empire State Manufacturing Index (Oct) Manufacturing index surged to 25.5, far exceeding forecasts and signaling strong factory activity.	7.6	10.3	25.5
8:30a	Jobless Claims 4-Week Average (Oct/10) Four-week jobless average dipped slightly, suggesting steady labor market health.	198.25	199	198.5
8:30a	Core PPI MoM (Sep)	0.2	0.3	0.7
8:30a	Philadelphia Fed Manufacturing Index (Oct)	37.8	28.4	20.9

8:30a	Continuing Jobless Claims (Oct/03) Continuing claims remained flat at 1,710, indicating stable employment levels.	1714	1710	1710
8:30a	Producer Price Index MoM (Sep) PPI jumped to 1.3%, well above forecasts, signaling rising producer price pressures.	0.5	0.5	1.3
8:30a	Retail Sales MoM (Sep) Retail sales slowed to 0.1% MoM, missing forecasts and raising consumer spending concerns.	1.2	0.3	0.1
8:30a	Retail Sales YoY (Sep) Year-over-year retail sales surged 6.3%, significantly beating forecasts and showing strong demand.	5.6	5.2	6.3
8:30a	Retail Sales Ex Autos MoM (Sep) Retail sales ex-autos beat forecasts at 0.9%, suggesting underlying consumer spending resilience.	1.4	0.5	0.9
10:00a	Business Inventories MoM (Aug)	0.9	0.4	0.4
11:30a	Atlanta Fed GDPNow (Q3)	3.6	3.6	3.6
12:00p	EIA Crude Oil Stocks Change (Oct/09)	-3.186	-0.3	-8.557
12:00p	EIA Gasoline Stocks Change (Oct/09)	0.382	-0.5	3.518
4:30p	Fed Hammack Speech	-	-	n/a
FRIDAY, OCT 16				
8:30a	Export Prices MoM (Sep)	1.2	1	2.2
8:30a	Import Prices MoM (Sep)	0.5	0.8	1.1
9:15a	Industrial Production MoM (Sep)	0	0.4	-
2:00p	Budget Balance (Sep)	-167	-29	-
3:30p	CFTC S&P 500 speculative net positions	-154.1	-	-
3:30p	CFTC Nasdaq 100 speculative net positions	58.1	-	-
3:30p	CFTC Crude Oil speculative net positions	99.1	-	-
3:30p	CFTC Gold Speculative net positions	210.3	-	-
4:00p	Net Long-Term TIC Flows (Aug)	-27.9	75.2	-
6:00p	Fed Goolsbee Speech	-	-	n/a